

Riding the economic waves: Tailoring your investments to business cycles

Imagine the economy is like the Wi-Fi signal in your house. When the signal is strong, everything works smoothly, much like when the economy is thriving. But in times of economic slowdown or recession, investors shift focus, just as you'd move closer to the router to maintain a strong connection. This is the core of business cycle investing where strategy changes basis the economy's "signal" be it growth, slump, recession or recovery.



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Cycles and their Relevance

In the growth phase the economic conditions are such that capacity utilization is closer to the peak, output growth is strong, corporate profits are robust and tax collections are healthy. In this phase consumers and companies feel confident, chart out capex plans, and discretionary spending increases. Next comes the recession phase. Here,

capacity utilization starts falling, so does output to below normal levels and tax collections start to moderate or decline. This is followed by the slump phase, a time when growth, capacity utilization and tax collection are all way below normal. Demand becomes extremely weak and there is heightened risk aversion among investors given the weak investor sentiment. This phase typically tends to be the bottom of a business cycle. Next is the recovery phase. Here, economy starts expanding, credit growth is strong, inflation increases, and tax collections begin to rise.

What is a Business Cycle Fund?

A business cycle based fund aims to capitalise on opportunities across sectors, themes, and market caps. The investment approach here is to identify opportunities based on prevailing business cycles, with a pure top-down approach. Truly flexible in terms of investment across market capitalisation, such type of scheme has no capping or minimum allocation criteria to adhere to. Here, the investment decision is based on the market cycle, and pursues select stock opportunities within identified sectors based on various financial parameters.

For instance, during periods of strong global and domestic growth, the fund may focus on sectors like metals, mining, and oil globally, while domestically opting

for sectors like consumer durables, capital goods, banking, auto, and infrastructure. Similarly, during periods of sluggish global and domestic growth, the focus may shift to defensive sectors such as telecom, FMCG, and utilities domestically. In effect, the investment strategy evolves with changing macroeconomic conditions.

Why Now

India's long-term growth potential, supported by government reforms, offers wealth creation opportunities for a patient investor. However, challenges like inflation and geopolitical tensions persist. Navigating such volatile times require flexibility in strategy, which can prove to be a game changer, especially during previous instances of market dislocations. Here, strategies such as the business cycle based fund can be an interesting addition to the portfolio.

Business cycle investing is about being proactive and adjusting investments based on economic conditions. By understanding and responding to the business cycle phases, investors can navigate both growth and downturns with ease.

Investors can consider initiating an SIP in such an offering as this strategy helps an investor to keep up with the changing market times efficiently, ensuring long-term financial success.